

Risk 1: Capital Adequacy Deterioration (CRAR / Tier 1) due to growth, losses, or RWA mismeasurement

1. **Risk Statement:** If capital planning and monitoring are insufficient, then the NBFC may breach minimum capital adequacy expectations and face supervisory constraints.
2. **Regulatory Mapping:** Minimum capital adequacy and Tier 1 expectations are specified (e.g., overall capital ratio and Tier 1 minimums), along with ICAAP-style internal assessment expectations proportionate to complexity.
3. **Category:** Prudential / Capital.
4. **Inherent Likelihood:** Medium.
5. **Inherent Impact:** High.
6. **Risk Drivers:**
 1. Rapid loan growth increasing RWAs.
 2. Under-provisioning or credit quality deterioration.
 3. Concentrated exposures or market stress.
7. **Key Scenarios:**
 1. Delinquencies rise → provisions increase → capital erodes.
 2. Misclassification/mismeasurement of RWA → CRAR overstated.
 3. Sudden losses (ops/fraud/market) reduce Tier 1 headroom.
8. **Existing Controls:**
 1. Monthly CRAR/Tier 1 reporting.
 2. Board risk appetite oversight.
 3. Periodic asset quality reviews.
9. **Control Gaps (Typical):**
 1. Weak forward-looking stress tests and capital buffer logic.
 2. Infrequent independent validation of RWA mapping/provisioning inputs.
10. **KRIs (Examples):**
11. CRAR buffer above regulatory minimum.
12. Tier 1 buffer above minimum.
13. GNPA/NNPA trend and provisioning coverage ratio movement.
14. **Mitigation / Treatment Plan:**
15. Formalize ICAAP-aligned internal capital assessment and stress testing approach.
16. Set escalation triggers for capital buffer breaches and growth throttles.

17. Independent review of RWA mapping, provisioning, and model governance.
 18. **Residual Risk & Review:** Residual risk remains Medium; review at least quarterly in Risk/Board committee.
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Risk 2: Liquidity Risk Weakness (ALM mismatch / funding concentration / stress testing gaps)

1. **Risk Statement:** If liquidity risk governance and ALM controls are weak, then the NBFC may fail to meet obligations when due without adverse impact.
2. **Regulatory Mapping:** Liquidity risk management framework requires governance from the top, board responsibility, ALCO oversight, defined tolerance/limits, monitoring, stress testing, and contingency planning.
3. **Category:** Treasury / Liquidity.
4. **Inherent Likelihood:** Medium.
5. **Inherent Impact:** High.
6. **Risk Drivers:**
 1. Short-term funding reliance.
 2. Concentrated lender base or instrument mix.
 3. Asset tenor longer than liability tenor.
7. **Key Scenarios:**
 1. Rollover freeze → liquidity gap.
 2. Unexpected collateral calls → cash strain.
 3. Ratings downgrade → funding cost spikes → liquidity spiral.
8. **Existing Controls:**
 1. ALCO governance structure and maturity profiling.
 2. Liquidity dashboards and limit monitoring (if implemented well).
9. **Control Gaps (Typical):**
 1. Stress tests not covering “severe but plausible” scenarios.
 2. Contingency plan not executable (no ready collateral/funding lines).
10. **KRIs (Examples):**
11. Cumulative negative mismatches by time bucket.
12. Top-5 funders concentration ratio.
13. Liquidity buffer days (survival horizon under stress).
14. **Mitigation / Treatment Plan:**

15. Define risk tolerance and enforce limits approved by the Board.
 16. Improve stress testing program and perform periodic dry-runs.
 17. Diversify funding sources and set concentration caps.
 18. **Residual Risk & Review:** Residual Medium; ALCO monthly review and Board quarterly oversight.
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Risk 3: Conduct & Transparency Risk in Lending (Interest rate model, risk gradation rationale, disclosure consistency)

1. **Risk Statement:** If pricing governance and disclosures are inconsistent across channels, then customer fairness and transparency obligations can be violated, leading to disputes and supervisory issues.
2. **Regulatory Mapping:** Disclosure of interest rate model, risk gradation approach, explicit sanction communication, website publishing and updates, and annualized rate transparency expectations.
3. **Category:** Conduct / Compliance / Customer Protection.
4. **Inherent Likelihood:** Medium.
5. **Inherent Impact:** High.
6. **Risk Drivers:**
 1. Multiple pricing sources (ops spreadsheets + system) causing drift.
 2. Manual document generation or branch-level overrides.
 3. Weak website update discipline.
7. **Key Scenarios:**
 1. Customer charged different APR than sanction letter.
 2. Risk-based pricing logic not documented → perceived discrimination/unfairness.
 3. Website shows outdated rates → transparency breach.
8. **Existing Controls:**
 1. Product approval committee controls (if present).
 2. Document templates and sanction workflow checks.
9. **Control Gaps (Typical):**
 1. No hard system blocks for mismatch.
 2. No periodic disclosure reconciliation testing.
10. **KRIs (Examples):**
11. Number of pricing-related complaints.

12. Mismatch rate between booked APR vs sanctioned APR in audit samples.
13. Website update SLA breaches.
14. **Mitigation / Treatment Plan:**
15. System-enforced single pricing source across UI + documents + booking.
16. Maker-checker for pricing updates and disclosure publishing.
17. Quarterly thematic review of conduct risk and disclosure evidence packs.
18. **Residual Risk & Review:** Residual Medium; monthly monitoring and quarterly board-level conduct review.